

NVIDIA Corporation

NVDA: Results Miss High Expectations, as Blackwell Delay Impacts NT Outlook

NVDA reported F2Q results and provided F3Q guidance, which were above cons estimates, but fell short of buy-side expectations, likely reflecting some impact related to the delay of Blackwell. NVDA acknowledged a delay to Blackwell indicating it updated the GPU mask to improve yields, but alleviated concerns of a greater delay indicating customer samples have shipped and expects "several" \$B in Blackwell revs in F4Q. Additionally, NVDA noted it anticipates Hopper revenues to grow in the 2H and soft guided GM to ~73% (-200 bps q/q) in 4Q, due to lower yields as it ramps Blackwell. We're trimming our above cons ests slightly due to recently released earnings and guidance and remain OW, given NVDA's clear leadership position within Gen AI.

Key Investment Points

F2Q (Jul) results miss high expectations and Blackwell delay impacts F3Q (Oct) guidance. F2Q revs of \$30.0B were in line with our est of \$30.2B and above cons est of \$28.7B. F2Q EPS was \$0.68, in line with our est of \$0.68 and above cons est of \$0.64. F3Q revs are guided to \$32.5B, below our est \$35.0B and slightly above cons est of \$31.8B. Implied F3Q EPS is \$0.73, below our est \$0.78 and slightly above cons est of \$0.71.

Strong gen-AI demand driven by consumer internet and enterprise companies. Gen-AI demand continues to drive outsized data center growth (+154% y/y), with compute +162% y/y and networking +114% y/y, again led by Enterprise (TSLA) and Consumer Internet (META) with >50% of revs. CSPs also continue to show strength, accounting for ~45% of the mix, and are expected to grow their NVDA capacity. Inference over the trailing 4 Qs was >40% of DC revs vs. 40% last qtr. Sovereign AI deployments continue to expand, and are now expected to contribute LDD \$B this year, up from previous expectations of HSD \$B, as nations invest in domestic compute capacity.

Blackwell delayed, but expected to contribute several \$B revs in F4Q. NVDA indicated: 1) Hopper demand remains strong driven by H100, with H200 shipping in F2Q and with Hopper revs expected to grow in the F2H; 2) China DC (H20) revs grew q/q and is a significant contributor, but China DC mix remains lower than pre-export control levels; 3) Blackwell (e.g., B200, GB200) is delayed, as masks were updated for the GPU to improve yields with the ramp expected in F4Q with several \$B revs.

Estimates

FY ends 1/31	F2024A	1Q25A	2Q25A	3Q25E	4Q25E	F2025E	F2026E
EPS (Net)	\$1.30	\$0.61	\$0.68	\$0.74	\$0.87	\$2.90	\$5.00
Cons. EPS	--	--	--	\$0.71	\$0.79	\$2.75	\$3.82
Previous	--	--	--	\$0.78	\$0.91	\$2.98	\$5.16
Revenue (M)	\$60,922.0	\$26,044.0	\$30,040.0	\$33,055.7	\$39,354.0	\$128,493.6	\$216,807.5
Cons. Revenue	--	--	--	\$31,865.2	\$35,052.3	\$121,877.2	\$168,984.3
Previous	--	--	\$30,159.5	\$34,984.3	\$40,486.9	\$131,674.7	\$221,887.6
Valuation							
P/E	96.9x	--	--	--	--	43.3x	25.1x

Sources: Company reports, Thomson Reuters, KeyBanc Capital Markets Inc.

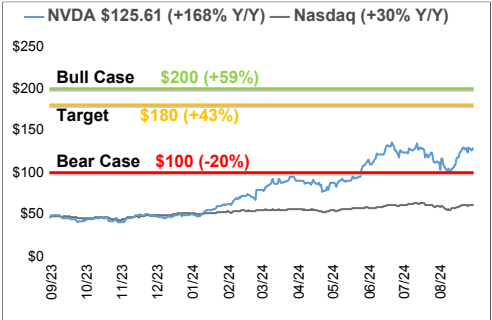
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NASDAQ: NVDA

Rating: Overweight

Price Target: \$180.00

Price: \$125.61



Sources: Company reports, Thomson Reuters, KeyBanc Capital Markets Inc.

Company Data

52-week range	\$39 - \$141
YTD Price % Chg.	159.1%
Market Cap. (M)	\$3,121,157.3
Shares Out. (M)	24,848.00
Enterprise Value (M)	\$3,121,157.3
Avg. Daily Volume (30D)	422,592,633.0
Annual Dividend	\$0.04
Dividend Yield	0.0%

Sources: Company reports, Thomson Reuters, KeyBanc Capital Markets Inc.



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Our Case

NVIDIA Corporation is one of the global leaders in advanced graphics processing technology. With high market share in the desktop discrete graphics processor market, NVIDIA has sought to diversify its product offerings into new markets, such as workstation, high-performance computing, automotive, and data center, which should drive meaningful growth over the next few years. The acquisition of Mellanox adds expanded opportunity in the data center. We are Overweight on NVDA with a price target of \$180, which is based on 36x our FY26 EPS estimate of \$5.00.

Bull Case

Upside to \$200, or 38x our bull FY26 EPS estimate of \$5.30

- New Hopper architecture drives higher margins/share gains.
- The Hopper and Blackwell data center GPU adoption continues to ramp quickly, and demand remains high, especially as new versions roll out.
- NVDA continues to outstrip competition for GPUs in AI and ML, dominating the market for training applications and driving sustainable growth.
- NVDA gains significant traction in inference and edge applications as new products targeting this market roll out.
- Cloud game streaming becomes more popular, driving demand for gaming and cloud businesses.

Bear Case

Downside to \$100, or 29x our bear FY26 EPS estimate of \$3.50

- Data center growth remains soft or lumpy for an extended period after aggressive expansion.
- Gaming demand slows down meaningfully as pandemic tailwinds fade.
- High operating expenses limit EPS growth. Growth in the high-end gaming enthusiast market slows down if e-sports stall or cloud game streaming erodes the market for high-end cards on local machines.
- Cloud gaming services limit local gaming PC or console growth.
- AMD or Intel become more competitive with GPU offerings, putting pressure on NVDA's growth and market share.

Valuation

NVIDIA Corporation (NVDA)

We are Overweight on NVDA with a price target of \$180, which is based on 36x our FY26 EPS estimate of \$5.00. NVDA is currently trading at 33x consensus forward P/E. By comparison, peers are trading at a median consensus 2025 P/E multiple of 29x. NVDA remains uniquely positioned to benefit from AI/ML secular data center growth within the industry. With significant barriers to entry created by its CUDA software stack, we see limited competitive risks and expect NVDA to continue to dominate one of the fastest growing workloads in cloud and enterprise. While early days, Omniverse represents an emerging software subscription revenue stream for metaverse applications that is likely to support further re-rating of the multiple, as it grows and scales. We remain Overweight.

Comparable Company Valuation

			EPS		Revenue		Valuation			
Ticker	8/28/2024 Price (\$USD)	Market Cap (\$mn)	'24 EPS Growth	'25 EPS Growth	'24 Rev Growth	'25 Rev Growth	'24 P/E	'25 P/E	'24 EV/Sales	'25 EV/Sales
INTC	19.61	89,564	-72.0%	324.4%	-3.1%	7.8%	78.4x	18.5x	2.3x	2.1x
AVGO	158.18	772,478	13.8%	26.7%	41.9%	16.6%	34.8x	27.4x	16.3x	13.9x
AMD	146.36	253,131	28.2%	59.5%	13.0%	28.4%	46.0x	28.8x	9.7x	7.6x
MRVL	68.44	60,081	-8.8%	74.8%	-1.9%	31.9%	50.3x	28.8x	11.7x	8.9x
MPWR	929.30	44,105	19.0%	25.1%	19.4%	21.2%	64.7x	51.7x	19.7x	16.3x
LSCC	46.32	6,639	-50.0%	37.9%	-29.4%	16.5%	48.0x	34.8x	12.5x	10.7x
Average			-11.6%	91.4%	6.7%	20.4%	53.7x	31.7x	12.0x	9.9x
Median			2.5%	48.7%	5.6%	18.9%	49.1x	28.8x	12.1x	9.8x
NVDA	125.61	3,130,350	123.8%	72.3%	110.9%	68.7%	43.3x	25.1x	24.2x	14.3x

Sources: KeyBanc Capital Markets Inc. estimates, Thomson Reuters

Investment Risks

NVIDIA Corporation (NVDA)

Market and macroeconomic conditions could interfere with the realization of our price target, as could risks including uncertainty regarding the recovery, duration, and decline in semiconductor end-market demand; overcapacity among semiconductor manufacturers; and company-specific execution risk.

Results

- F2Q revs of \$30.0B were in line with our est of \$30.2B and above cons est of \$28.7B. F2Q EPS was \$0.68, in line with our est of \$0.68 and above cons est of \$0.64.

Reported Earnings

	Most Recent Quarter			Year-Ago	
	Actual	Estimated	Consensus	Quarter Actual	Year/Year % Change
Revenue (M)	\$30,040	\$30,159	\$28,700	\$13,507	122.4%
Gross margin	75.7%	75.5%	75.8%	71.2%	4.5%
Operating expense (M)	\$2,792	\$2,776		\$1,838	51.9%
Operating income (M)	\$19,937	\$19,994		\$7,776	156.4%
Operating Margin	66.4%	66.3%		57.6%	8.8%
Interest Income (M)	\$380.0	\$300.0		\$120.0	216.7%
Tax Expense (M)	\$3,365	\$3,452		\$1,156	191%
Tax rate	16.6%	17.0%		14.6%	13%
Net income (M)	\$16,952	\$16,842		\$6,740	151.5%
EPS	\$0.68	\$0.68	\$0.64	\$0.27	153.0%
Shares outstanding (M)	24848	24890		24990	-0.6%

Source: Company Reports, KeyBanc Capital Markets Estimates

- Strength in Data Center continues to drive upsides. F2Q DC revs of \$26.3B were in line with our est of \$26.6B, driven by strength in networking. Gaming revs of \$2.88B were above our est of \$2.73B, driven by higher demand as part of the back-to-school season. Pro Viz revs of \$454M were above our est of \$440M, driven by continued ramp of Ada based GPU workstations. Auto revs of \$346M were slightly above our est of \$345M, driven by cockpit and DRIVE.

Reported Segment Revenue (M)

	Most Recent Quarter			Qtr/Qtr % Change	Year-Ago	
	Actual	Estimated	%Δ		Quarter Actual	Yr/Yr % Change
Data Center	\$26,272	\$26,568	-1.1%	16.4%	\$10,323	154%
Compute	\$22,604	\$23,270	-2.9%	16.6%	\$8,612	162%
Networking	\$3,668	\$3,298	11.2%	15.7%	\$1,711	114%
Gaming	\$2,880	\$2,726	5.6%	8.8%	\$2,486	15.8%
Pro Visualization	\$454	\$440	3.2%	6.3%	\$379	19.8%
Auto	\$346	\$345	0.2%	5.2%	\$253	36.8%
OEM and Other	\$88	\$80	10.6%	12.8%	\$66	33.3%
Total	\$30,040	\$30,159	-0.4%	15.3%	\$13,507	122%

Source: Company Reports, KeyBanc Capital Markets Estimates

	Prev Qtr	Curr Qtr	%Chg
DOI	98	83	-14
Inventory (M)	\$5,864	\$6,675	13.8%
DSO	43	43	-

Source: Company reports

Guidance

- F3Q revs are guided to \$32.5B, below our est \$35.0B and slightly above cons est of \$31.8B. Implied F3Q EPS is \$0.73, below our est \$0.78 and slightly above cons est of \$0.71.
- Mgt expects GM of 75% in F3Q and mid-70% in FY25, implying >72% GM in F4Q, declining 200 bps q/q, with the introduction of new products with immature cost curves.
- For FY25 opex, NVDA projects that to grow mid-upper 40% y/y vs. low-40% prior.
- For F3Q, NVDA expects DC rev to be up, driven by Hopper.

Forecasted Guidance

	Out Quarter			Year-Ago	Year/Year % Change
	Guidance	Prior Estimate	Consensus	Quarter Actual	
Revenue (M)	\$32,500	\$34,984	\$31,769	\$18,120	79.4%
Gross margin	75.0%	74.5%	75.5%	75.0%	0.0%
Operating expense (M)	\$3,000	\$2,859		\$2,026	48.1%
Operating income (M)	\$21,375	\$23,204		\$11,557	85.0%
Operating Margin	65.8%	66.3%		63.8%	2.0%
Interest Income (M)	\$350.0	\$300.0		\$175.0	100.0%
Tax Expense (M)	\$3,693	\$3,998		\$1,712	116%
Tax rate	17.0%	17.0%		14.6%	16%
Net income (M)	\$18,032	\$19,506		\$10,020	80.0%
EPS	\$0.73	\$0.78	\$0.71	\$0.40	80.6%
Shares outstanding (M)*	24848	24890		24940	-0.4%

Sources: Company reports, KeyBanc Capital Markets estimates

Risk-Reward

Risk-Reward Analysis - NVDA

	Current	Peak	Median	Trough
Price/Earnings				
Multiple*	25.1x	64.8x	34.0x	22.7x
Stock price	\$125.6	\$323.8	\$170.0	\$113.6
Upside/downside	-	157.8%	35.3%	-9.6%
Price/Sales				
Multiple*	14.7x	26.6x	15.9x	9.1x
Stock price	\$125.6	\$234.1	\$140.5	\$80.2
Upside/downside	-	86.4%	11.9%	-36.1%
Price/Book				
Multiple*	64.8x	66.1x	22.5x	11.7x
Stock price	\$125.6	\$131.9	\$44.9	\$23.4
Upside/downside	-	5.0%	-64.3%	-81.3%
EV/Sales				
Multiple*	14.6x	26.3x	15.8x	8.9x
Stock price	\$125.6	\$232.8	\$140.3	\$79.3
Upside/downside	-	85.3%	11.7%	-36.8%

*2021 - Present

Source: Thomson Reuters, KeyBanc Capital Markets Inc.

NVDA Income Statement 8/28/2024 (\$ in millions, except per-share data)	2024				2025				2026				FY
	1Q24 Apr-23	2Q24 Jul-23	3Q24 Oct-23	4Q24 Jan-24	1Q25 Apr-24	2Q25 Jul-24	3Q25E Oct-24	4Q25E Jan-25	1Q26E Apr-25	2Q26E Jul-25	3Q26E Oct-25	4Q26E Jan-26	2024
Net sales	7,192	13,507	18,120	22,103	26,044	30,040	33,056	39,354	44,342	49,827	56,933	65,707	60,922
q-q growth	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	10.0%	19.1%	12.7%	12.4%	14.3%	15.4%	125.9%
5-yr avg.	6.3%	7.0%	7.7%	-2.4%	8.1%	25.1%	14.2%	8.1%	11.5%	24.9%	12.8%	11.3%	110.9%
y-y growth	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	82.4%	78.0%	70.3%	65.9%	72.2%	67.0%	68.7%
COGS	2,390	3,893	4,537	5,144	5,484	7,311	8,264	10,626	11,529	12,457	14,233	16,427	15,964
Gross profit	4,802	9,614	13,583	16,959	20,560	22,729	24,792	28,728	32,813	37,370	42,699	49,280	44,958
Research & development	1,339.0	1,428.0	1,581.0	1,747.0	1,980.0	2,241.0	2,397.9	2,517.8	2,719.2	2,773.6	2,829.0	2,885.6	6,095.0
SG&A	411.0	410.0	445.0	463.0	521.0	551.0	589.6	619.0	668.6	681.9	695.6	709.5	1,729.0
Other	-	-	-	-	-	-	-	-	-	-	-	-	-
Operating Expenses	1,750	1,838	2,026	2,210	2,501	2,792	2,987	3,137	3,388	3,456	3,525	3,595	7,824
%chg Q/Q - Y/Y	-1.4%	5.0%	10.2%	9.1%	13.2%	11.6%	7.0%	5.0%	8.0%	2.0%	2.0%	2.0%	13.0%
% Sales	24.3%	13.6%	11.2%	10.0%	9.6%	9.3%	9.0%	8.0%	7.6%	6.9%	6.2%	5.5%	12.8%
Operating profit (EBIT)	3,052	7,776	11,557	14,749	18,059	19,937	21,804	25,592	29,425	33,915	39,175	45,685	37,134
% Sales	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	66.0%	65.0%	66.4%	68.1%	68.8%	69.5%	61.0%
Other income/(expense), net	84.0	120.0	175.0	232.0	302.0	380.0	350.0	350.0	350.0	350.0	350.0	350.0	611.0
Minority interest/other	-	-	-	-	-	-	-	-	-	-	-	-	-
Pretax income (EBT)	3,136	7,896	11,732	14,981	18,361	20,317	22,154	25,942	29,775	34,265	39,525	46,035	37,745
Taxes/(benefit)	423.0	1,156.0	1,712.0	2,142.0	3,123.0	3,365.0	3,766.2	4,410.1	5,061.7	5,825.0	6,719.2	7,825.9	5,433.0
Net income	2,713	6,740	10,020	12,839	15,238	16,952	18,388	21,532	24,713	28,440	32,806	38,209	32,312
EPS	\$0.11	\$0.27	\$0.40	\$0.52	\$0.61	\$0.68	\$0.74	\$0.87	\$0.99	\$1.14	\$1.32	\$1.54	\$1.30
Share count	24,900	24,990	24,940	24,900	24,890	24,848	24,848	24,848	24,848	24,848	24,848	24,848	24,933
Operating Ratios													
Gross Margin	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.0%	73.0%	74.0%	75.0%	75.0%	75.0%	73.8%
R&D	18.6%	10.6%	8.7%	7.9%	7.6%	7.5%	7.3%	6.4%	6.1%	5.6%	5.0%	4.4%	10.0%
SG&A	5.7%	3.0%	2.5%	2.1%	2.0%	1.8%	1.8%	1.6%	1.5%	1.4%	1.2%	1.1%	2.8%
Other	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating Margin	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	66.0%	65.0%	66.4%	68.1%	68.8%	69.5%	61.0%
Interest Income	1.2%	0.9%	1.0%	1.0%	1.2%	1.3%	1.1%	0.9%	0.8%	0.7%	0.6%	0.5%	1.0%
Pre Tax Income	43.6%	58.5%	64.7%	67.8%	70.5%	67.6%	67.0%	65.9%	67.1%	68.8%	69.4%	70.1%	62.0%
Tax Rate	13.5%	14.6%	14.6%	14.3%	17.0%	16.6%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	14.4%
Net Income	37.7%	49.9%	55.3%	58.1%	58.5%	56.4%	55.6%	54.7%	55.7%	57.1%	57.6%	58.2%	53.0%
Y/Y % Change													
Sales	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	82.4%	78.0%	70.3%	65.9%	72.2%	67.0%	125.9%
R&D	9.3%	4.8%	12.5%	23.6%	47.9%	56.9%	51.7%	44.1%	37.3%	23.8%	18.0%	14.6%	12.7%
SG&A	7.3%	5.9%	14.7%	28.3%	26.8%	34.4%	32.5%	33.7%	28.3%	23.8%	18.0%	14.6%	13.8%
Operating Profit	-22.8%	486.9%	652.4%	563.2%	491.7%	156.4%	88.7%	73.5%	62.9%	70.1%	79.7%	78.5%	310.8%
Pretax Income	-19.8%	503.2%	652.1%	560.8%	485.5%	157.3%	88.8%	73.2%	62.2%	68.6%	78.4%	77.5%	317.3%
Net Income	-21.2%	421.7%	588.2%	490.6%	461.7%	151.5%	83.5%	67.7%	62.2%	67.8%	78.4%	77.5%	70.5%
EPS	-19.7%	425.2%	589.6%	487.5%	461.9%	153.0%	84.2%	68.1%	62.5%	67.8%	78.4%	77.5%	288.4%
Q/Q % Change													
Sales	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	10.0%	19.1%	12.7%	12.4%	14.3%	15.4%	
R&D	-5.3%	6.6%	10.7%	10.5%	13.3%	13.2%	7.0%	5.0%	8.0%	2.0%	2.0%	2.0%	
SG&A	13.9%	-0.2%	8.5%	4.0%	12.5%	5.8%	7.0%	5.0%	8.0%	2.0%	2.0%	2.0%	
Operating Profit	37.2%	154.8%	48.6%	27.6%	22.4%	10.4%	9.4%	17.4%	15.0%	15.3%	15.5%	16.6%	
Pretax Income	38.3%	151.8%	48.6%	27.7%	22.6%	10.7%	9.0%	17.1%	14.8%	15.1%	15.4%	16.5%	
Net Income	24.8%	148.4%	48.7%	28.1%	18.7%	11.2%	8.5%	17.1%	14.8%	15.1%	15.4%	16.5%	
EPS	24.1%	147.5%	49.0%	28.3%	18.7%	11.4%	8.5%	17.1%	14.8%	15.1%	15.4%	16.5%	

Sources: NVIDIA Corporation, KeyBanc Capital Markets Inc. estimates

NVDA Balance Sheet 8/28/2024 (\$ in millions, except per-share data)	F2023				F2024				F2025	
	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25
	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24
Assets										
Cash and Marketable Securities	\$20,338	\$17,037	\$13,143	\$13,296	\$15,320	\$16,023	\$18,281	\$25,984	\$31,438	\$34,800
Accounts receivable	\$5,438	\$5,317	\$4,908	\$3,827	\$4,080	\$7,066	\$8,309	\$9,999	\$12,365	\$14,132
Inventories	\$3,163	\$3,889	\$4,454	\$5,159	\$4,611	\$4,319	\$4,779	\$5,282	\$5,864	\$6,675
Prepaid and Deferred Taxes	\$636	\$1,175	\$718	\$791	\$872	\$1,389	\$1,289	\$3,080	\$4,062	\$4,026
Assets held for sale	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
<u>Other current assets</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>
Current assets	\$29,575	\$27,418	\$23,223	\$23,073	\$24,883	\$28,797	\$32,658	\$44,345	\$53,729	\$59,633
PPE	\$2,916	\$3,233	\$3,774	\$3,807	\$3,740	\$3,799	\$3,844	\$3,914	\$4,006	\$4,885
Long-term investments	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Deposits and other	\$856	\$852	\$927	\$1,038	\$1,094	\$1,235	\$1,316	\$1,346	\$1,532	\$1,556
Goodwill and intangibles	\$6,576	\$6,408	\$6,222	\$6,048	\$5,971	\$5,825	\$5,681	\$5,542	\$5,439	\$5,574
<u>Deferred tax and other</u>	<u>\$5,289</u>	<u>\$5,565</u>	<u>\$6,342</u>	<u>\$7,216</u>	<u>\$8,772</u>	<u>\$9,899</u>	<u>\$10,649</u>	<u>\$10,581</u>	<u>\$12,366</u>	<u>\$13,579</u>
Total assets	\$45,212	\$43,476	\$40,488	\$41,182	\$44,460	\$49,555	\$54,148	\$65,728	\$77,072	\$85,227
Liabilities										
Trade accounts payable	\$1,999	\$2,421	\$1,491	\$1,193	\$1,141	\$1,929	\$2,380	\$2,699	\$2,715	\$3,680
Current portion of debt	\$0	\$1,249	\$1,249	\$1,250	\$1,250	\$1,249	\$1,249	\$1,250	\$1,250	\$0
<u>Other current liabilities</u>	<u>\$3,563</u>	<u>\$3,903</u>	<u>\$4,115</u>	<u>\$4,120</u>	<u>\$4,869</u>	<u>\$7,156</u>	<u>\$5,472</u>	<u>\$6,682</u>	<u>\$11,258</u>	<u>\$10,289</u>
Current liabilities	\$5,562	\$7,573	\$6,855	\$6,563	\$7,260	\$10,334	\$9,101	\$10,631	\$15,223	\$13,969
Bonds payable	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Long-term debt	\$10,947	\$9,700	\$9,701	\$9,703	\$9,704	\$8,456	\$8,457	\$8,459	\$8,460	\$8,461
Deferred Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
<u>Other liabilities</u>	<u>\$2,383</u>	<u>\$2,352</u>	<u>\$2,583</u>	<u>\$2,815</u>	<u>\$2,976</u>	<u>\$3,264</u>	<u>\$3,325</u>	<u>\$3,660</u>	<u>\$4,247</u>	<u>\$4,640</u>
Total liabilities	\$18,892	\$19,625	\$19,139	\$19,081	\$19,940	\$22,054	\$20,883	\$22,750	\$27,930	\$27,070
Shareholders' equity	\$26,320	\$23,851	\$21,349	\$22,101	\$24,520	\$27,501	\$33,265	\$42,978	\$49,142	\$58,157
Total liabilities and shareholders' equity	\$45,212	\$43,476	\$40,488	\$41,182	\$44,460	\$49,555	\$54,148	\$65,728	\$77,072	\$85,227
Working capital	\$24,013	\$19,845	\$16,368	\$16,510	\$17,623	\$18,463	\$23,557	\$33,714	\$38,506	\$45,664
Changes in working capital	(\$481)	(\$4,168)	(\$3,477)	\$142	\$1,113	\$840	\$5,094	\$10,157	\$4,792	\$7,158
Capital expenditures	\$383	\$433	\$548	\$509	\$248	\$289	\$278	\$253	\$369	\$977
Net cash	\$9,391	\$6,088	\$2,193	\$2,343	\$4,366	\$6,318	\$8,575	\$16,275	\$21,728	\$26,339
Leverage & liquidity ratios										
Current ratio	5.3x	3.6x	3.4x	3.5x	3.4x	2.8x	3.6x	4.2x	3.5x	4.3x
Quick ratio	4.7x	3.1x	2.7x	2.7x	2.8x	2.4x	3.1x	3.7x	3.1x	3.8x
Sales/total assets (TTM)	0.7x	0.7x	0.7x	0.7x	0.6x	0.7x	0.8x	0.9x	1.0x	1.1x
LT debt/equity	42%	41%	45%	44%	40%	31%	25%	20%	17%	15%
Debt/total capitalization	42%	46%	51%	50%	45%	35%	29%	23%	20%	15%
Interest coverage	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x
Turnover-control ratios										
Cash conversion cycle	98.8	109.3	179.4	234.1	184.3	103.8	90.1	87.1	95.7	80.3
Days sales outstanding	59.9	72.4	75.5	57.7	51.8	47.7	41.8	41.3	43.3	42.9
Days payables outstanding	66.9	60.9	52.3	53.1	43.6	45.2	47.9	47.9	45.2	45.9
Days of inventory	105.9	97.8	156.2	229.4	176.0	101.2	96.1	93.7	97.6	83.3
Inventory turns	3.4x	3.7x	2.3x	1.6x	2.1x	3.6x	3.8x	3.9x	3.7x	4.4x
Profitability ratios										
Asset turnover	0.7x	0.6x	0.6x	0.6x	0.6x	1.1x	1.3x	1.3x	1.4x	1.4x
x NIM	42%	19%	25%	36%	38%	50%	55%	58%	59%	56%
= ROA	30%	12%	14%	21%	24%	54%	74%	78%	79%	80%
x Financial leverage	1.72	1.82	1.90	1.86	1.81	1.80	1.63	1.53	1.57	1.47
= ROE	52%	22%	27%	39%	44%	98%	120%	119%	124%	117%
ROIA	55%	20%	21%	31%	37%	80%	112%	129%	134%	134%
ROIC	37%	15%	18%	26%	30%	71%	92%	96%	102%	100%
Valuation ratios										
Book value per share	\$1.04	\$0.95	\$0.85	\$0.89	\$0.98	\$1.10	\$1.33	\$1.73	\$1.97	\$2.34
Tangible book value per share	\$0.78	\$0.69	\$0.61	\$0.65	\$0.74	\$0.87	\$1.11	\$1.50	\$1.76	\$2.12
Cash per share	\$0.80	\$0.68	\$0.53	\$0.54	\$0.62	\$0.64	\$0.73	\$1.04	\$1.26	\$1.40
Debt per share	\$0.43	\$0.44	\$0.44	\$0.44	\$0.44	\$0.39	\$0.39	\$0.39	\$0.39	\$0.34
Revenue per share	\$0.33	\$0.27	\$0.24	\$0.24	\$0.29	\$0.54	\$0.73	\$0.89	\$1.05	\$1.21
Gross margin per share	\$0.22	\$0.12	\$0.13	\$0.16	\$0.19	\$0.38	\$0.54	\$0.68	\$0.83	\$0.91

Source: NVIDIA Corporation

Disclosure Appendix

Important Disclosures

NVIDIA Corporation - NVDA

We expect to receive or intend to seek compensation for investment banking services from NVIDIA Corporation within the next three months.

As of the date of this report, we make a market in NVIDIA Corporation.

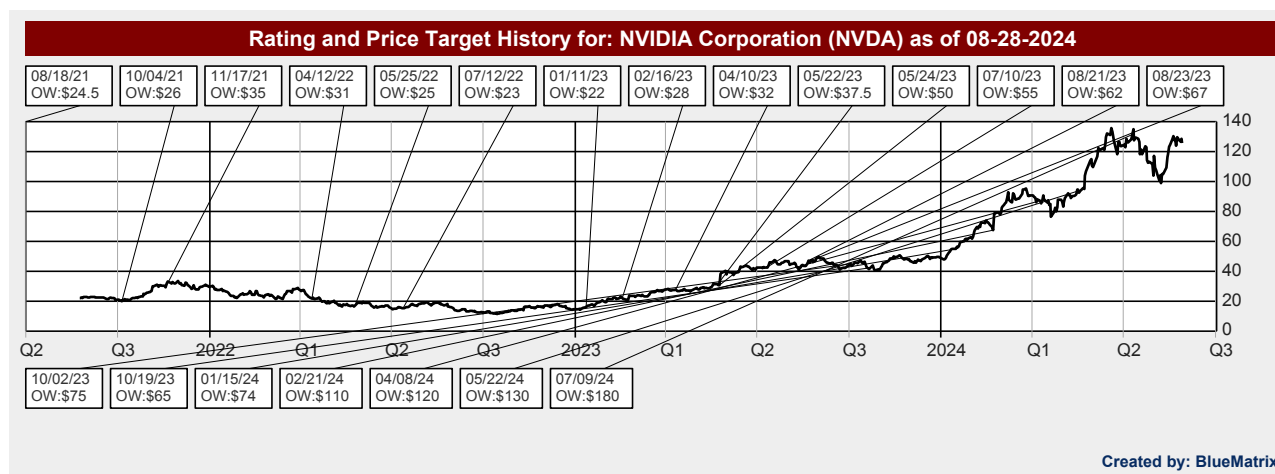
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Please refer to the analysts' recently published reports for company-specific valuation and risks.

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Three-Year Rating and Price Target History



Rating Disclosures

Distribution of Ratings/IB Services Firmwide and by Sector									
KeyBanc Capital Markets					Technology				
Rating	Count	Percent	IB Serv/Past 12 Mos.		Rating	Count	Percent	IB Serv/Past 12 Mos.	
			Count	Percent				Count	Percent
Overweight [OW]	258	48.41	42	16.28	Overweight [OW]	97	53.01	6	6.19
Sector Weight [SW]	269	50.47	45	16.73	Sector Weight [SW]	83	45.36	4	4.82
Underweight [UW]	6	1.13	0	0.00	Underweight [UW]	3	1.64	0	0.00

Rating System

Overweight - We expect the stock to outperform the analyst's coverage sector over the coming 6-12 months.

Sector Weight - We expect the stock to perform in line with the analyst's coverage sector over the coming 6-12 months.

Underweight - We expect the stock to underperform the analyst's coverage sector over the coming 6-12 months.

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